

PRICING

Another enormous challenge for AC companies this summer is the hiking up prices without a big impact on consumer demand. The Consumer Electronics and Appliances Manufacturers Association (CEAMA) while shedding light on this conundrum points out how prices have been erratic over the past few years, and the pandemic made the situation worse. In the past 18 months, CEAMA further elaborates, the consumer appliance/durable sector has seen an increase of up to 15 percent in prices. The industry is reeling under constant pressure because of a surge in commodity inflation and raw material cost.

"Nonetheless, the price rise will not impact consumers on an immediate basis because the production of inventory is already planned till March-April 2022. We can expect further price rise from May due to rise in prices of raw material, crude oil, freight cost etc.," shares CEAMA President Eric Braganza.

Blue Star unveiled its range of 'affordable-yet-best-in-class differentiated' split ACs, this summer season. Overall, the Company has launched nearly 50 models across the spectrum of inverter, fixed speed, and Window ACs. Since the Company's foray into the residential ACs segment in 2011, Blue Star has grown from strength to strength in this segment, outperforming the industry year after year, and is targeting a market share of 14% in 2022.

"We continue to diligently curate our product and price mix to cater to the entire spectrum of residential ACs market. With our constant focus on R&D and manufacturing, we are confident of rolling-out products offering immense value for money," sums up B Thiagarajan, Managing Director, Blue Star Limited.

The Company's strategic repositioning as a mass premium brand began in 2020, with the roll-out of a range of affordable split ACs to cater to price-sensitive consumers and first-time buyers, especially in Tier 3, 4, and 5 markets. Thereafter, the Company's focus has been on reinforcing this transition by a calibrated focus on all aspects that determine success in the mass premium market. Despite the rise in input costs, the Company has also offered these products at attractive price points by intelligent cost-saving measures.

Blue Star has supplemented its product and pricing strategies with robust distribution and service mechanisms whereby the product range including its after-sales service is available in all Tier 2, 3, 4 and 5 cities and towns and Tier 1 cities, to reach the mass premium markets effectively. The Company has significantly strengthened its D2C presence through special offers on Blue Star's online shopping portal.

Blue Star is further scaling up its manufacturing operations by setting up a new world-class manufacturing plant at Sri City backed by the PLI scheme

CLIMATE CHANGE AND SUSTAINABLE DEVELOPMENT

Sustainability is the key for combating the hazards of climate change. Every human being is affected by the effects of climate change. Propelled by this growing awareness to address this critical issue, there is global movement to drive more sustainable choices for life on Planet Earth. This includes all aspects of day to day human life–physical, mental–and even economic development in one's place of living, be it in an urban space or a rural landscape.

Now more than ever, industry is pushing ahead to find more sustainable energy saving solutions. Though the trend was kicked off up some years ago, the outcomes of the pandemic, the work-from-home culture and sped up awareness of climate change in a wider market, has been a pause for even greater technological advancement in air-conditioning manufacture.



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B Thiagarajan
Managing Director
Blue Star Limited

